

Flow 6: Statement & Billing Management

Product Area: Bank / Program Admin

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Status: Draft

1. Purpose & Scope

This PRD defines the requirements for **Statement & Billing Management** in the Bank / Program Admin console — the surface that controls statement generation, viewing, regeneration, payment processing visibility, and billing-related operational support.

This document covers:

- Statement generation, viewing, and regeneration per cardholder
- Statement content data model and audit trail
- Payment ingestion and posting visibility (ACH)
- Payment reversals and adjustments
- Billing summary metrics
- Interest, fee, and adjustment reconciliation views

This document does not define:

- Underlying interest / fee calculation engine (assumed to be a billing service)
 - Cardholder-side statement UI (covered in End-Client PRDs)
 - Autopay execution mechanics (Flow 4)
 - Cycle-level configuration (Flow 1)
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2. Goals & Success Criteria

Goal	Success Criterion
Statements are generated correctly and on schedule	100% of accounts get a statement by the cycle close + offset, with no data anomalies
Statement content meets Reg Z disclosure standards	Every required CARD Act / Reg Z field is present and renders consistently across surfaces
Payment activity is fully visible and reconcilable	Every payment event (manual or autopay) has a queryable lifecycle record
Operations can correct billing issues quickly when warranted	Statement regeneration and adjustments are achievable in ≤ 3 clicks with audit

3. Personas

- **Billing Ops (primary):** Monitors generation, handles adjustments, regenerates corrected statements.
- **Servicing Agent:** Looks up a specific statement or payment to support a customer call.
- **Finance / Compliance:** Reviews aggregate billing summaries and adjustment patterns.
- **Cardholder (downstream):** Views statements and payments in-app.

4. Functional Requirements

4.1 Statement Generation

Trigger

- Automatic on cycle close + configured offset (from Flow 1 §4.3)
- Admin can trigger regeneration manually for a specific account/cycle (see §4.4)

Inputs (data assembled per statement)

- All transactions posted during the cycle (from Flow 5)
- Opening and closing balances

- Payments and credits applied during the cycle (including dispute provisional credits — from Flow 3)
- Fees assessed during the cycle (annual, late, returned payment, foreign, cash advance, etc.)
- Interest charges accrued during the cycle, by sub-balance (purchases, cash advances, balance transfers)
- Rewards earned this cycle (with redemption activity if any)
- APR effective during the cycle (and any changes mid-cycle)

Computed fields

- Statement balance
- Minimum payment due (per program / regulatory floor)
- Payment due date (≥ 21 days after statement close per Reg Z)
- Days in billing cycle
- Average daily balance (per sub-balance)
- Interest charge calculation (must be disclosed per Reg Z §1026.7)

Required disclosures embedded in the statement

- APR per sub-balance and the rate type (fixed/variable)
- Interest charge calculation method
- Fee schedule referenced
- **CARD Act minimum payment warning:** if cardholder pays only the minimum, the disclosed total payoff time and total interest cost
> Audit reference (Finding #14): the minimum payment warning is legally required on every statement and on the cardholder-facing Payments tab. The statement data must carry this calculation explicitly.
- Late payment warning (next-cycle late fee amount, penalty APR triggers if any)
- Dispute rights notice (FCBA — “Your Billing Rights” summary)
- Customer service contact info

4.2 Statement Data Validation

Audit reference (Finding #12): statement records must not all carry identical date ranges, and outlier balances must be caught before publish.

Pre-publish validation

- Statement period dates are unique per account / cycle
- Closing balance reconciles to opening + transactions + fees + interest – payments
- Balance plausibility check — values outside an issuer-configured sanity range raise a hold flag for review
- Required disclosure fields are all present
- APR fields populated

On validation failure

- Statement is held; not published to the cardholder app
- Alert sent to billing ops with diagnostic info
- Manual review/release flow required

4.3 Statement Viewing

Admin can view any statement for any account.

View modes

- **Structured view** — sections rendered as discrete blocks: Summary, Transactions, Fees, Interest, Rewards, Adjustments, Disclosures. Each section expandable.
> Audit reference (Finding #13): rendering as accessible HTML sections (not just an embedded PDF) supports both admin operability and the cardholder-side WCAG compliance.
- **PDF view** — the cardholder-downloadable PDF rendering
- **Raw data view** — JSON of the underlying record for ops debugging

Filters / Search across statements

- By cycle (year + month)
- By account
- By status (Generated, Held, Published, Regenerated, Voided)
- By outlier flag (held for review)

4.4 Statement Regeneration

Used when a statement needs correction (e.g., a late-arriving dispute adjustment, an erroneous fee).

Process

- Admin selects the statement and clicks "Regenerate"
- Required: reason code (controlled list) and free-text justification
- The system re-runs generation against the current source-of-truth data
- Old statement is marked **Superseded** (retained for audit, not visible to cardholder)
- New statement is marked **Regenerated** and published
- Cardholder is notified of the corrected statement
- Audit log captures actor, timestamp, reason, diff summary

Constraints

- Cannot regenerate statements older than the statutory retention threshold without compliance approval
- Cannot regenerate a statement that is the subject of an open regulatory inquiry without compliance approval

4.5 Payment Ingestion & Posting Visibility

This surface displays all payment events; it does not initiate them (initiation comes from cardholder action or autopay).

Per-payment record

- Source (Manual payment / Autopay)
- Account reference

- Amount
- Funding source (bank name, masked account number)
- Lifecycle timestamps: Scheduled → Pending → Posted → Failed
- Reason for failure (if applicable): NSF, ACH return code, invalid funding source, processing error
- Posted-balance impact: which sub-balance(s) the payment was applied against, per the program's payment allocation order
- Cross-link to autopay run (if autopay-source)

Filters

- Status, source, date range, amount range, account, failure reason

4.6 Payment Reversals & Adjustments

Reversal triggers

- ACH return after initial settlement (e.g., NSF reported by receiving bank days after the fact)
- Customer-disputed payment (rare)
- Operational error correction

Process

- Reversal is recorded with reason code and original-payment reference
- Balance is restored; if a late fee or penalty APR was avoided because of the original payment, those may re-attach per program policy
- Cardholder is notified

Adjustments

- Goodwill fee waivers — admin can issue a credit adjustment with reason code and approval gate (above threshold → supervisor)
- Compliance-mandated adjustments (e.g., regulatory correction) — separate reason code; usually flagged for audit

- Dispute-outcome adjustments are posted automatically from Flow 3 — this surface shows them but does not initiate them

4.7 Billing Summary Metrics

Aggregate dashboard:

- Total outstanding balance across program
- Total billed this cycle
- Total payments received this cycle
- Failed payment rate
- Late payments rate
- Interest revenue (cycle and YTD)
- Fee revenue by type (cycle and YTD)
- Delinquent accounts count by aging bucket (1–29 days, 30–59, 60–89, 90+)

These feed Flow 9 reporting at a higher level; this surface gives billing ops the operational view.

4.8 Statement Retention & Access

- Statements retained for the regulatory retention period (7+ years)
- Cardholder app surfaces at least 12 cycles (per MVP Feature B.5)
- Admin can access full retained history
- Bulk export by account or date range available

4.9 Audit Log

All admin actions captured:

- Statement regeneration
- Adjustments (goodwill, compliance, dispute-driven)
- Payment reversals
- Holds and releases on flagged statements

- Field: actor, timestamp, reason, before/after values

5. Business Rules

1. Statement balance and minimum payment due are computed from the underlying ledger; admin does not edit these directly.
2. Payment allocation follows program policy (typically per CARD Act: amounts above the minimum applied to highest-APR balance first); allocation logic is implemented in the payments service, not configurable in this UI.
3. Payments are considered on-time if **initiated** by the cutoff on the due date (per Payment Rules §6.3); settlement delays do not penalize the cardholder.
4. Failed payments do not reduce balance (per Payment Rules §8.2). The original obligation persists.
5. Dispute provisional credits appear on the next statement; final outcomes (favoring merchant) trigger a reversal posting on a subsequent statement with prior notice (per Flow 3 §4.5).
6. Statement regeneration creates a new version; the old version is retained for audit, never deleted.
7. Late labels and “past due” status must follow the user-messaging principles defined in Payment Rules §10 — neutral, action-oriented language, escalating only when concrete consequences (fees, restrictions) apply.

6. Dependencies

Depends On	Reason
Flow 1: Card Program Configuration	Billing cycle, APR, fees, grace period config
Flow 2: Cardholder Account Management	Account state and lifecycle gates statement generation
Flow 3: Dispute Management	Provisional credits and outcomes post here
Flow 4: Autopay	Autopay payments appear in payment records
Flow 5: Transaction Monitoring	Transactions roll into statements

Depends On	Reason
Billing / interest engine	Computes interest, fees, minimum payment
Payments / ACH service	Source of payment lifecycle events
End-Client: Statements, Statement Detail, Payments, Interest & Fees Transparency	Consumer surfaces

7. Edge Cases

Case	Expected Behavior
Cycle close falls on weekend	Statement generation date shifts per program policy; due date is still 21+ days out
Mid-cycle APR change	Statement shows both APRs and the date of change; interest is calculated using daily balances under each rate
Account closes mid-cycle	A final statement is generated for the partial cycle; subsequent activity (residual interest, fee reversals) posts to a final closing statement
Statement balance is \$0	Statement is still generated for the cycle (so cardholder sees activity, rewards, etc.); no minimum payment due; no autopay run (per Flow 4)
Statement balance is negative (credit balance / overpayment)	Statement reflects the credit; no payment due; cardholder is informed about refund options
Multiple disputes resolve in the same cycle	All adjustments roll into that cycle's statement; each line item references its dispute case
Outlier balance (e.g., \$2.9M) caught by validation	Statement held; ops investigates; no publish to cardholder until resolved
Cardholder makes payment after due date but within grace period	Treated per program grace policy; if no late fee applies, statement reflects no penalty; if late, late fee posts and statement reflects it with required disclosures
Late-arriving transaction (network sends days after auth)	Posts to the cycle in which it cleared, not the cycle it authorized in; standard accounting

Case	Expected Behavior
Same-day payment and autopay both run	Both visible as separate records; balance reflects both; allocation logic handles ordering

8. Compliance Notes

- **Reg Z §1026.7:** Periodic statement disclosures — APR, interest charge calculation, fees, payment information — must be present on every statement.
- **CARD Act:** Minimum payment warning (payoff timeline at minimum payment, total interest cost) is required on every statement.
> *Audit reference (Finding #14).*
- **Reg Z grace period:** 21 days minimum between statement close and due date is enforced upstream in Flow 1; this flow trusts that input.
- **FCBA “Your Billing Rights”:** Notice must appear on each statement or at minimum once per cycle as required by regulation.
- **Reg E:** Payment confirmations to cardholder (via the in-app surface) must include reference number and expected post date — this is implemented on the cardholder side; the data captured in §4.5 is the source.
- **Record retention:** 7-year minimum; superseded statement versions retained.
- **Accessibility (WCAG 2.1 AA):** Statement rendering as structured HTML (not just a PDF embed) supports cardholder-side compliance — see Audit Finding #13.

9. Open Questions

- Statement delivery preferences (e-statement only vs. paper) — managed where? Likely in Flow 2 cardholder profile.
- Bulk regeneration tooling for systemic corrections (e.g., a fee bug) — MVP scope?
- Should ops be able to preview a draft statement before publish? (Currently: only on validation hold.)
- Year-end summary / 1099-style aggregations — out of MVP, future ask.

